

Committees

A committee is a group of persons to whom, as a group, some matter is committed.

Group Process in Committees:

Groups go through four stages:

1. **Forming** – when the members of the group get to know each other.
2. **Storming** – when the members of the group determine the objective of the meeting and conflict arises.
3. **Norming** – when the group agrees on norms and some rules of behaviour.
4. **Performing** – when the groups get down to the task.

Functions and formality of committees and groups

- A committee may have either **line or staff** functions, depending on its authority.
- **Plural executive** – A line committee that also carries out managerial functions such as the board of directors.

Reasons for using committees and groups

- Group deliberation and judgement - **“two heads are better than one.”**
- **Dominant Logic** - defined as a **mindset or a worldview or a conceptualization of a business.**
 - CEOs may evolve **“gestalts”** to integrate strategy, structure, and process.
- Fear of too much authority in a single person – **division of power** among the **legislature, executive, and the judiciary.**
- Representation of interested groups - Board of directors are selected on the basis of groups in which the company has an interest.
- Coordination of departments, plans, and policies
- Transmission and sharing of information
- Committees have **splintered** authority

Disadvantages and misuse of committees

- They are costly.
- They may result in compromises at the least common denominator rather than in an optimal decision.
- They may lead to indecision.
- They also can split responsibility.
- Finally, they can lead to a situation in which a few persons impose their will on the majority, not allowing participation of other members.
- Committees should not be used as a replacement for a manager, for research study, for unimportant decisions, and for decisions beyond the participant's authority.
- Chairperson - sets the tone of the meeting, integrates the ideas, and keeps the discussion from wandering.
- Minutes – are circulated in draft for correction or modification before the committee approves the final copy.
- Cost effectiveness - But the committee can be justified only if the costs are offset by tangible and intangible benefits.

Additional Group Concepts

Group – two or more members acting interdependently in a unified manner towards the achievement of a common goal.

Characteristics of a group

1. A group member share one or more common goals, such as **market a new product**.
2. Groups normally require **interaction and communication** among members.
3. Members within a group assume roles - the roles are in relationship to each other in order to achieve the group task.
4. Groups usually are a part of a larger group. Large groups may also consist of subgroups.
 - Within the product group may be a **subgroup specializing exclusively in the selling** of the product.

A Special Kind of Group: The Focus Group

- Actual or potential customers are asked in a group setting to comment on a product or service before large-scale research is undertaken.
- The comments may be taped or notes may be taken.
- The responses are then analyzed to determine the customers' attitudes, perceptions, or satisfaction with regard to the product or service.

Functions and Advantages of Groups

- They are powerful in changing behaviour, attitudes, and values and in disciplining members.
- Effective group interaction may also affect motivation.
- Leadership is a group processes - understanding of groups is important for carrying out all managerial functions, particularly the function of leading.

Advantages of groups for individuals

- Groups provide social satisfaction for their members, a **feeling of belonging**, and **support for the needs** of individuals.
- Grapevine - group members become aware of “what is really going on in the organization.”
- Groups provide security - Labour unions are formed to give **job security** to their members.

Successful operation of committees and groups

- **Authority** - should be spelled out so that its members know whether their responsibility is to make decisions, make recommendations, or merely deliberate.
- **Size** - no precise conclusions can be drawn about the appropriate size.
- **Membership** – should be representative of the expectation.
- **Subject matter** – must be carefully selected before meeting

Teams

Team – A small number of people with complementary skills who are committed to a common purpose, set of performance goals, and approach for which they hold themselves mutually accountable.

- Cross-functional teams - used for developing a new product or to improve the quality of a product or service.
 - E.g., in the design and development of the Boeing 777 airliner, some 200 cross-functional teams were involved.

Team Building

- There are **no definite rules** for building effective teams. Following approaches are useful:
- Team members must be convinced that the **team's purpose is worthwhile, meaningful, and urgent.**
- Team members should also be **selected according to the skills needed** to achieve the purpose.
- Teams should have the right mix of skills such as **functional or technical skills, problem-solving and decision-making skills, and human relations skills.**
- Teams should be guided by rules for group behaviour such as **regular attendance, confidentiality, discussions based on facts, and everyone contributing.**
- **Goals** and required tasks should be identified early in team formation.
- Members should encourage each other through **recognition, positive feedback, and rewards.**

Communication

Communication – The transfer of information from a sender to a receiver, with the information being understood by the receiver.

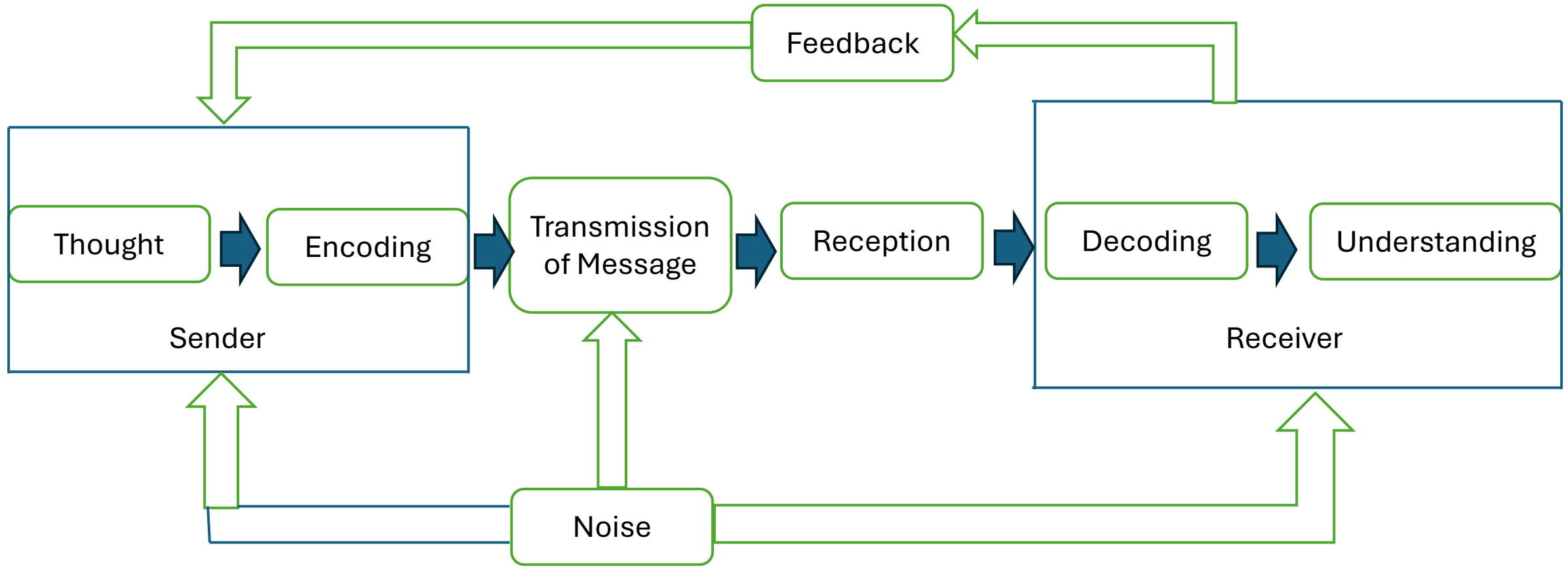
The purpose of communication

- Communication integrates the managerial functions.
- Communication is needed
 1. To establish and disseminate the goal of an enterprise.
 2. To develop plans for their achievement.
 3. To organize human and other resources in the most effective and efficient way.
 4. To select, develop, and appraise members of the organization.
 5. To lead, direct, motivate, and create a climate in which people want to contribute, and
 6. To control performance.

The Communication Process

- **Sender** – encodes the thought or an idea in a way that can be understood by both the sender and the receiver.
- **Channel** – that links the sender with the receiver. E.g., computer , telephone, TV etc.
- **Receiver** - has to be ready for the reception of the message so that it can be decoded into thoughts.
- **Decoding** - the receiver converts the message into thoughts.

The communication process model



Noise – Anything whether in the sender, the transmission, or the receiver – that hinders communication.

- A noise or a confined environment may hinder the development of a clear thought.
- Encoding may be faulty because of the use of ambiguous symbols.
- Transmission may be interrupted by static in the channel such as that experienced in a poor telephone connection.
- Inaccurate reception may be caused by inattention.
- Decoding may be faulty because the wrong meaning may be attached to words and other symbols.
- Understanding can be obstructed by prejudices.
- A desired change that is communicated may not occur because of the fear of possible consequences of the change.
- In cross-cultural communication, not only verbal expression, but also gestures and posture can cause miscommunication.

Feedback in communication

- To check the effectiveness of communication, a person must have feedback.
- One can never be sure whether or not a message has been effectively encoded, transmitted, decoded, and understood until it is confirmed by feedback.
- Similarly, feedback indicates whether individual or organizational change has taken place as a result of communication.

Situational and Organizational Factors in Communication

- Factors in the external environment - educational, sociological, legal, political, and economic.
 - A repressive political environment will inhibit the free flow of communication.
 - Geographic distance being a situational factor, a direct face-to-face communication is different from a telephone conversation.
 - Time must also be considered in communication. The busy executive may not have sufficient time to receive and send information accurately.

Communication flow in the organization

- **Downward communication** – flows from people at higher levels to those at lower levels in the organizational hierarchy.
- **Upward communication** – travels from subordinates to superiors and continues up the organizational hierarchy.
- **Ombudsperson** – A person assigned to investigate employee concerns, thus providing a valuable upward communication link.
- **Crosswise communication**
- It is used for speed information flow horizontally and diagonally.
 - **Horizontal flow** – of information is among people on the same or similar organizational levels.
 - **Diagonal flow** – of information is among persons at different levels who have no direct reporting relationships with one another.

Marketing Management

Marketing
vs
selling

The scope of marketing

Goods – steel, cars, TV, machines

Services – airlines, hotels, car rental firms

Experiences – fairy kingdom, pirate ship, haunted house

Events – Olympics, trade shows, artistic performances

Persons – musicians, CEOs, lawyers

Places – real estate, commercial banks, local business associations

Properties – real estate, stocks and bonds

Organizations – universities, museums, performing arts organizations

Information – encyclopedias, magazines, dissemination centers

Ideas – “say NO to drugs,” “avoid fatty foods.”

Marketing Concepts and Tools

*“There will always, one can assume, be need for some selling. But the **aim of marketing is to make selling superfluous.** The aim of marketing is to **know and understand the customer so well that the product or service fits him and sells itself.** Ideally, **marketing should result in a customer who is ready to buy.** All that should be needed then is to make the product or service available.”*

- Peter Drucker

Marketing Concepts and Tools

Marketing is a societal process by which individuals and groups obtain what they need and want through creating, offering, and freely exchanging products and services of value with others.

Marketing Management is the art and science of choosing target markets and getting, keeping, and growing customers through creating, delivering, and communicating superior customer value.

Marketing Concepts and Tools

Core marketing concepts

Market segments – demographic, geographic, psychographic, behavioural basis.

Target markets – for each chosen target market, the firm develops a market offering.

The offering is **positioned in the minds** of the target buyers as delivering some central benefit.

Marketing Concepts and Tools

- **Needs** are states of felt deprivation.
 - Food, clothing, shelter
- **Wants** are human needs directed to specific objects that might satisfy the need.
 - A person in US needs food, but may want a hamburger, French fries and a soft drink.
 - A person in Mauritius needs food, but may want a mango, rice, lentils, beans.
- **Demands** are human wants that are backed by buying power.
 - Many people want a Mercedes, but only a few are able to buy one.

Customer needs

- **Stated needs** – an inexpensive car
- **Real need** – a car with low operating cost, and not the initial price.
- **Unstated needs** – good service from the dealer.
- **Delight needs** – an onboard navigation system.
- **Secret needs** – wants to be seen by friends as a savvy customer.

Marketing Concepts and Tools

- **Value proposition** – a set of benefits companies offer to customers to satisfy their needs.
- **Offering** – the value proposition is made physical through products, services, information, and experiences.
- **Brand** – an offering from a known source (differentiated).
- **Brand image** – associations in people's mind.
 - McDonald's – fun, children, fast food.

Marketing Concepts and Tools

- **Value** is a ratio between what customers get and what he gives.
- Customer value triad – quality service price
 ↑ ↑ ↓
- Value = Benefits/Cost

= (functional benefits + emotional benefits)/ (monitory costs + time costs + energy costs + psychic costs)

Marketing Concepts and Tools

Exchange and Transactions

- **Transaction** – trade of values between two or more parties
 - A gives X to B and receives Y in return.
- **Barter** – trading goods or services for other goods or services
 - A lawyer writes a will for the physician for medical examination.
- **Transfer** – A gives X to B, but does not receive anything in return.
- **Behavioural response** – marketers eliciting a desired response from the target audience

Marketing Concepts and Tools

Relationships and networks

- **Relationship marketing** – building mutually satisfying long-term relations with key parties – **customers, suppliers, distributors** – in order to earn and retain their business.
- **Marketing network** – consists of the company and its supporting stakeholders – customers, employees, suppliers, distributors, retailers, ad agencies, university scientists – with whom it has built mutually profitable business relationships.

Marketing Concepts and Tools

Marketing Channels

- **Communication channels** – newspapers, magazines, TV, internet
- **Distribution channels** – distributors, wholesalers, retailers, agents
- **Service channels** – warehouses, transportation companies, banks, insurance.

Company Orientations towards the marketplace

What philosophy should guide a company's marketing efforts?

- There are 6 concepts under which organizations conduct marketing activities
 - Production concept
 - Product concept
 - Selling concept
 - Marketing concept
 - Customer concept
 - Societal marketing concept

Production concept

- Customers will prefer products that are **widely available** and **inexpensive**
- Businesses focus on **high production efficiency, low cost, and mass-distribution.**
- Practiced in **developing countries.**

Product concept

- Consumers prefer products offering most quality, performance, innovation.
- Companies believe that their engineers design exceptional products
- **Little to no customer input** is sought
- Will not examine competitors products
- The product concept can lead to “**marketing myopia.**”

The selling Concept

- Consumers when left alone will not buy the organization's products.
- **“The purpose of marketing is to sell more stuff to more people more often for more money in order to make more profits.”**
- Selling of unsought goods and services that people don't want to buy – **insurance, encyclopedias, funeral plots.**

The Marketing Concept (1950s)

- They work at the level of **customer segments**
- Shifted from **product centered to customer centered** approach
- The job is not to find the right customers for your product, but to find the **right product for your customers**.
- Company is more effective than competitors in creating, delivering, and communicating superior value.

“Selling focuses on the needs of the seller; marketing on the needs of the buyer. Selling is preoccupied with the seller’s need to convert his product into cash; marketing with the idea of satisfying the needs of the customer by means of the product and the whole cluster of things associated with creating, delivering, and finally consuming it.”

- Theodore Levitt

The Customer Concept

- Shaping separate offers, services, and messages to individual customers.
- Collect information on past transactions, demographics, psychographics and preferences.
- They plan to build high customer loyalty and **customer lifetime value**.

The Societal Marketing concept

- Environmental deterioration, resource shortages, explosive population growth, world hunger and poverty.
- Are companies acting to the best long-term interests of consumers and society?
- Deliver desired satisfaction that **preserves or enhances the consumer's and society's well being.**